



Diploma in

Leadership & Management

Transactional and Transformational Leadership



Discuss the concept of transactional leadership <

Discuss the concept of transformational leadership <

Understand your leadership style <

Objectives

Styles of leadership

Transactional



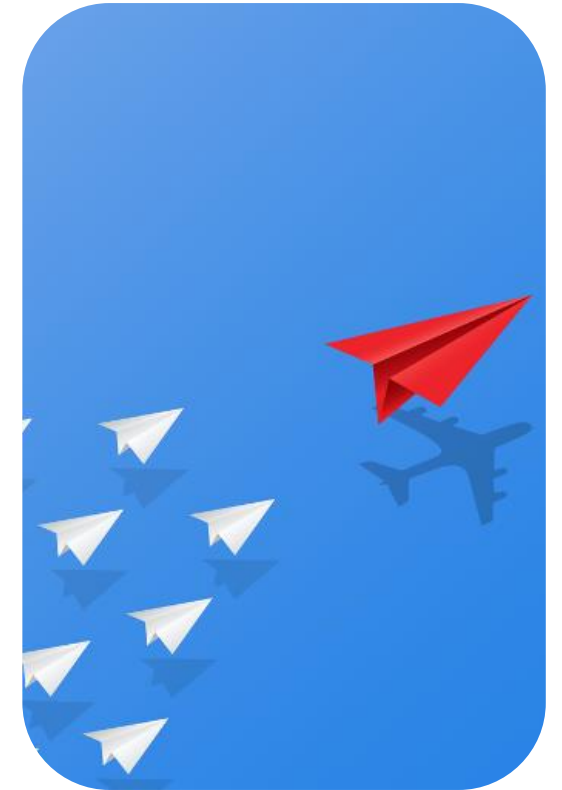
Transformative



Evolved



Your style

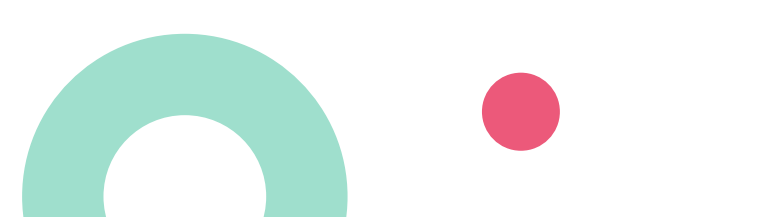




Transactional leadership



In transactional leadership, rewards and punishments are contingent upon the performance of the followers. The leader views the relationship between managers and subordinates as an exchange – you give me something for something in return. When subordinates perform well, they receive a reward. When they perform poorly, they will be punished in some way. Rules, procedures, and standards are essential in transactional leadership.



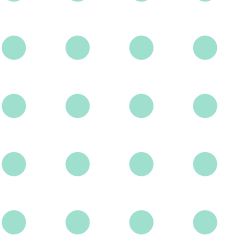
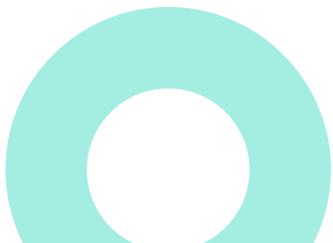


Transactional leadership

This style is most often used by management.

The focus is on the basic management process.

The focus is on self-interest.



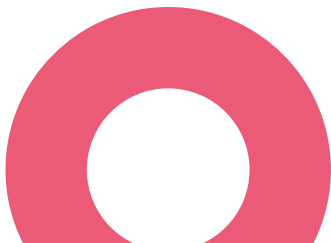


Transactional leadership

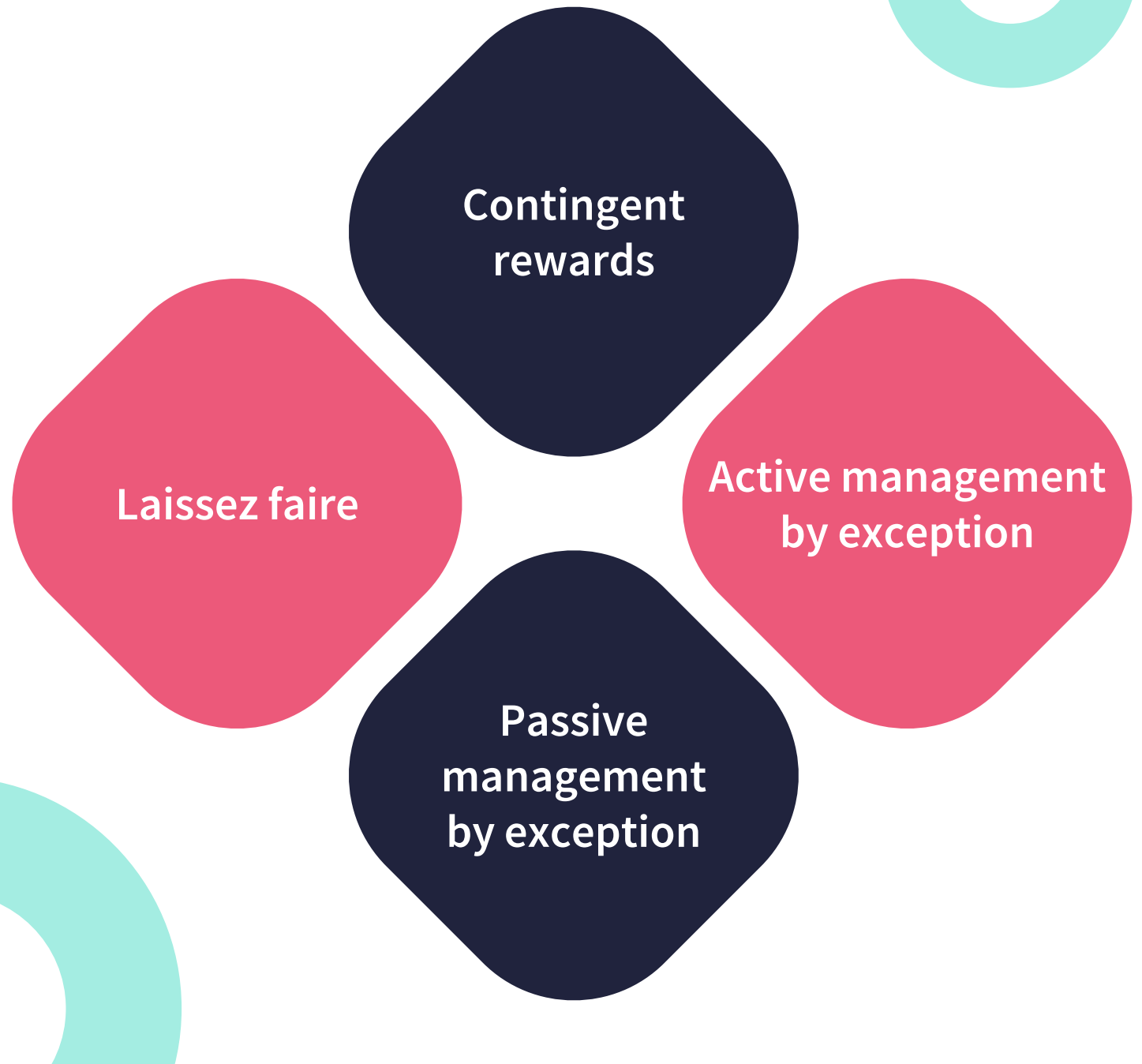
The goal of followers is to obey the instructions of the leader.

The leader believes in motivating through a system of reward and punishment.

The power of transactional leaders comes from their formal authority and responsibility in the organisation.



Dimensions of transactional leadership



Behaviours of transactional leaders

- Set goals and rewards.
- Provide constructive feedback on performance .
- Follow the rules.
- Establish and standardise practices.
- Provide real-time feedback.



Examples of transactional leadership



**Norman
Schwarzkopf**



Vince Lombardi
Football coach



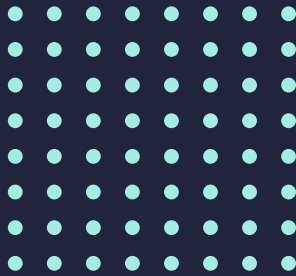
Bill Gates
Microsoft

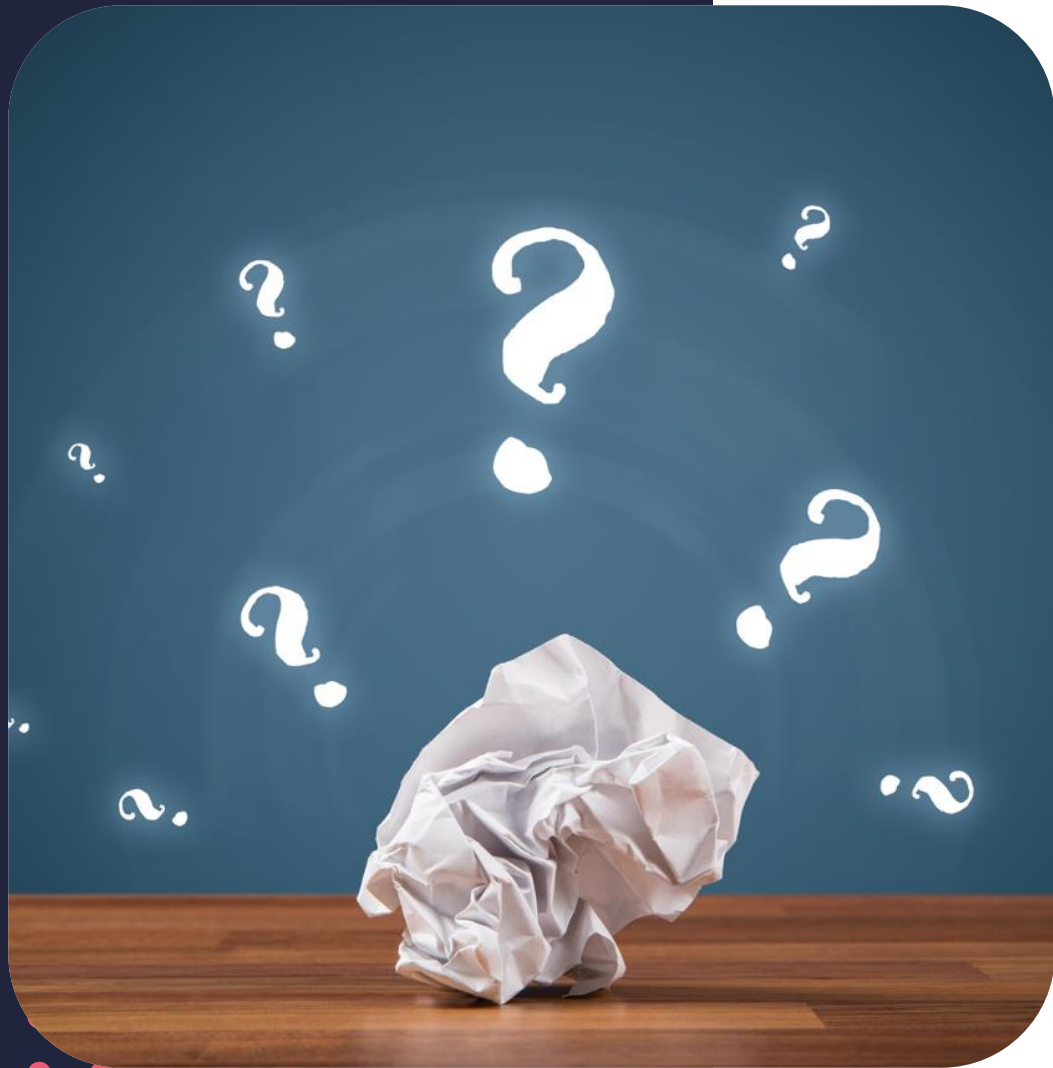


Howard Schultz
Starbucks

Transactional leadership style

- Short-term focused.
- Left-brained thinkers.
- Resistant to change.
- Belief in doing things the 'right way'.
- Usually very effective in large corporations.





Transactional leadership: pitfalls

Transactional leaders are not a good fit for organisations where creativity and innovative ideas are valued.

Transactional leadership: disadvantages

- Innovation is limited.
- New leaders are not encouraged.
- Consequences can become more important than reward.
- Empathy is not seen as a strength.





1.

When increase production
is needed and a cut in cost
is required.

2.

When a clear structure
is needed.



3.

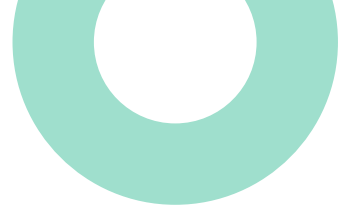
When motivation is needed
through rewards.

4.

When short-term goals
need to be achieved
quickly.



Transformational leadership



Transformational leadership serves to change the status quo by appealing to followers' values and their sense of higher purpose. Transformational leaders engage with followers and create a connection that raises the level of motivation and morality in both the leader and the follower.





Transformational leadership

Lead with a
vision.

Create a vision
with everyone in
mind.

Holistic
approach to
reach the vision.





Transformational leadership

Consistency
is key.

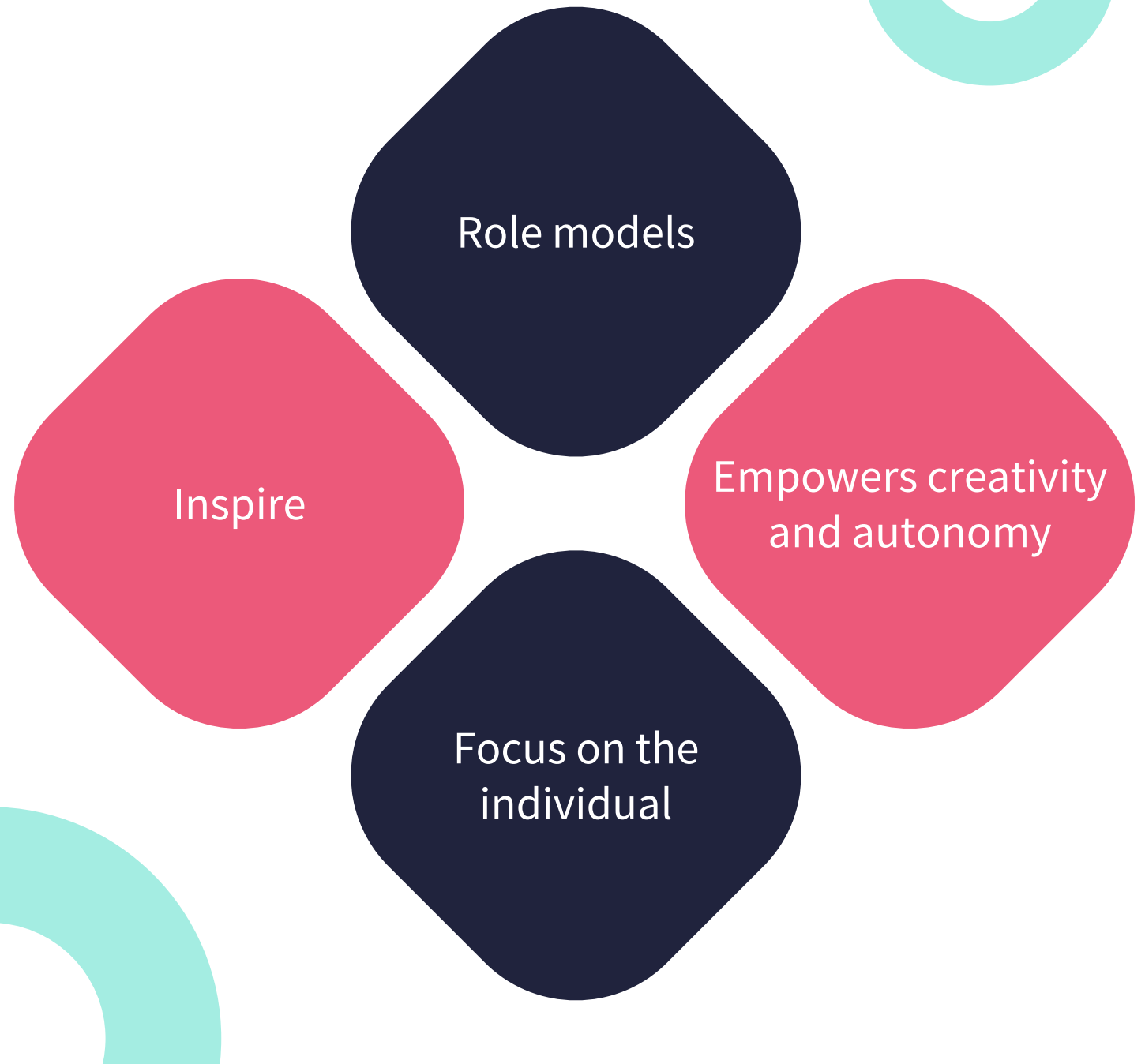
Work, work and
more work.

‘It's not about
perfect. It's
about effort. And
when you bring
that effort every
single day, that's
where
transformation
happens. That's
how change
occurs.’

– Jillian Michaels



Dimensions of transformational leadership





Behaviours of transformational leaders

- Be courageous.
- Provide optimism.
- Use empathy.
- Operate from a strong foundation of values and principles.
- Focus on purpose.

Examples of transformational leadership



**Dr. Martin
Luther king**
Civil rights
leader



**Michael
Bloomberg**
New York mayor

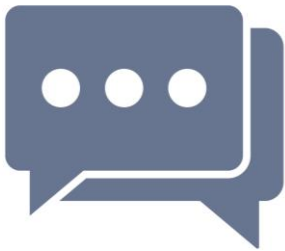


Walt Disney
Film maker



Oprah Winfrey
Television
visionary

When does transformational leadership work?



Engage the individual



Focus on retention



Empower, create and innovate



Focus on learning and growth

Transformational leadership: pitfalls

Despite the benefits attributed to transformational leadership, there are also numerous flaws seen by critics. Take a look at the aspects that make this leadership style unappealing to others.



Transformational leadership: disadvantages



Burn out



Wrong
motivation



Long-term vision



Perception is key





Determine your leadership style

Is the approach
you're using
realistic?

Does the situation
need a decisive
approach?

Does the
situation need a
buy-in or
collaborative
approach?



Determine your leadership style

Does the situation need a decisive approach?

Does the situation need a buy-in or collaborative approach?

Is the approach you're using realistic?



Determine your leadership style

Does the situation need a buy-in or collaborative approach?

Is the approach you're using realistic?

Does the situation need a decisive approach?



Determine your leadership style

Evaluate the needs of your employees

Does the needs of the employees and that of the company match?

Are you able to set up an effective leadership approach?



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